

Korea Power Equipment

2Q26 Results Preview: LS may beat on 2Q new orders, Hyosung may miss on earnings on ME impact

Korea power equipment companies will report 2Q results during the last two weeks of July. We forecast divergent trends among the companies we cover. LS Electric is likely to beat on its new orders growth (~KRW 2 trillion, vs KRW 1 trillion in 1Q), and the company may consider revising up its FY26 new orders guidance from KRW 5 trn to KRW 6 trn. On the other hand, Hyosung Heavy's operating profit may miss consensus estimates on the back of the impact of the Middle East conflict (5-10% of new orders in FY25). The company also had a high base of new orders (KRW 4 trillion in 1Q), and sequential order momentum may ebb. Key focus areas for the results include: 1) Assessment of local opportunities after the Korean memory behemoths announcing their long-term investment plans; 2) AIDC order wins for Hyundai Electric and Hyosung Heavy, as both companies have the majority of orders from utilities/grids instead of DCs; and 3) Progress on tariff rebates, margin expansion, and potential revision of FY new orders/profit guidance. See page 3 for earnings previews and page 4 for earnings/PT changes.

- Hyosung Heavy: High base for new orders:** We forecast operating profit for Hyosung Heavy to reach KRW 266bn (+62%/74% YoY/QoQ, 6% below consensus). Key focus areas for the results include: 1) Orders momentum in 2Q and whether management will revise up its FY26 guidance (10% growth yoy) following a doubling of orders in 1Q; 2) The pace of order wins for 765kV new orders and the impact of the delay in progress for 765kV projects (like in Texas); 3) More details on the joint venture established with Quanta Services ([link](#)) and the company's strategy for AIDC orders in the US.
- LS Electric: New orders likely to beat, core earnings in line:** We forecast operating profit for LS Electric to reach KRW 167bn (+54%/32% YoY/QoQ, >5% above consensus). Its new orders were likely strong at >KRW 2 tn during 2Q, much higher than ~KRW 1 tn in 1Q. This is a function of strong order intake momentum from the data centers in the US during the quarter. While the company already revised up its FY26 new orders guidance from KRW 4 tn to KRW 5 tn earlier this year ([note](#)), there is a possibility for the company to further revise it up to KRW 5-6 tn on our estimates. Key focus areas for the results include: 1) More details about the recent capacity expansion plan in the US (in Utah), and whether the company will further add capacity for other products in the States; 2) Details about AIDC project wins and the progress of product wins from new customers; 3) Potential revision of full year guidance (such as the KRW 600bn operating profit target); and 4) Mgmt comments on tailwinds from Korea's massive AI expansion project (see [note](#) by our Korea Tech analyst).
- Hyundai Electric: Key focus on AIDC new orders and FY26 order guidance:** We forecast operating profit for Hyundai Electric to be KRW 301bn (in line with consensus). Key focus areas for the results include: 1) The impact of the Middle East conflict on the company's earnings in the region; (~10% the total orders in ME in FY25); 2) More details about project wins of AIDC orders in the US. Note that local news (Korea JoongAng Daily) reported that the company won a >\$700mn order from an AIDC earlier; 3) New order momentum in 2Q after a strong beat in 1Q, and potential revision of FY new orders guidance; and 4) trends in subsidiaries' revenues (which declined in 1Q due to a scheduled delay in product delivery in Atlanta).

Power Equipment and Utilities

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
HD Hyundai Electric	267260 KS	21,726	KRW	922,000	OW	n/c	1,375,000	Jun-27	1,315,000	Dec-26
Hyosung Heavy Industries	298040 KS	18,940	KRW	3,107,000	OW	n/c	4,100,000	Jun-27	3,900,000	Dec-26
LS Electric	010120 KS	21,229	KRW	216,500	N	n/c	200,000	Jun-27	190,000	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 06 Jul 26.

2Q26 Earnings Preview

Table 1: KR power equipment 2Q26E earnings preview

KRW bn

KRW bn	2Q25	1Q26	2Q26E	YoY	QoQ	Consensus	Difference
HD Hyundai Electric							
Revenue	906	1,037	1,187	31%	15%	1,126	5%
Operating profit	209	258	301	44%	16%	296	2%
OP margin	23.1%	24.9%	25.3%	2.3ppt	0.4ppt	26.3%	-0.9ppt
NP	142	208	219	54%	5%	224	-2%
Hyosung Heavy							
Revenue	1,525	1,358	1,769	16%	30%	1,804	-2%
Operating profit	164	152	266	62%	74%	284	-6%
OP margin	10.8%	11.2%	15.0%	4.2ppt	3.8ppt	15.7%	-0.7ppt
NP	93	87	201	118%	131%	211	-5%
LS Electric							
Revenue	1,193	1,377	1,607	35%	17%	1,494	8%
Operating profit	109	127	167	54%	32%	158	6%
OP margin	9.1%	9.2%	10.4%	1.3ppt	1.2ppt	10.6%	-0.2ppt
NP	67	121	119	77%	-1%	114	4%

Source: Company data, Bloomberg Finance L.P. (for consensus), J.P. Morgan estimates.

Hyundai Electric: Key focus on AIDC new orders and FY26 order guidance: We forecast operating profit for Hyundai Electric to be KRW 301bn (in line with consensus). Key focus areas for the results include: 1) The impact of the Middle East conflict on the company's earnings in the region; (~10% the total orders in ME in FY25); 2) More details about project wins of AIDC orders in the US. Note that local news (Korea JoongAng Daily) reported that the company won a >\$700mn order from an AIDC earlier; 3) New order momentum in 2Q after a strong beat in 1Q, and potential revision of FY new orders guidance; and 4) trends in subsidiaries' revenues (which declined in 1Q due to a scheduled delay in product delivery in Atlanta).

Hyosung Heavy: We forecast operating profit for Hyosung Heavy to reach KRW 266bn (+62%/74% YoY/QoQ, 6% below consensus). Key focus areas for the results include: 1) Orders momentum in 2Q and whether management will revise up its FY26 guidance (10% growth yoy) following a doubling of orders in 1Q; 2) The pace of order wins for 765kV new orders and the impact of the delay in progress for 765kV projects (like in Texas); 3) More details on the joint venture established with Quanta Services ([link](#)) and the company's strategy for AIDC orders in the US.

LS Electric: New orders likely to beat, core earnings in line: We forecast operating profit to reach KRW 167bn (+54%/32% YoY/QoQ, >5% above cons.). New orders were likely strong at >KRW 2tn during 2Q, much higher than ~KRW 1tn in 1Q. This is a function of strong order intake momentum from the data centers in the US during the Q. While the company already revised up its FY26 new orders guidance from KRW 4tn to KRW 5tn earlier this year ([note](#)), there is a possibility for the company to further revise it up to KRW 5-6tn on our estimates. Key focus areas for the results: 1) More details about recent capacity expansion plan in the US (Utah), and whether the co will further add capacity for other products in the States; 2) Details about AIDC project wins and the progress of product wins from new customers; 3) Potential revision of full year guidance (such as the KRW 600bn operating profit target); 4) Mgmt comments on tailwinds from Korea's massive AI expansion project ([note](#) by our Korea Tech analyst).

Model updates

Hyundai Electric: We revise up our 27-28E earnings by 2-3% to reflect higher assumptions for power equipment sales in the US on the back of its project wins of >US \$700mn in new orders from a hyperscaler, which is a break-through to the AIDC market. We also roll forward our PT from Dec 26 to Jun 27, and we trim our multiple for the North America segment from 40x to 35x to reflect slightly slower growth CAGR ahead on a higher earnings base after a few years of stellar earnings performance since 2023. All in all, we lift our PT from KRW 1,315k/sh to KRW 1,375k. We maintain an OW rating.

Hyosung Heavy: We revise up our 27-28E earnings by 3% to reflect higher assumptions for power equipment sales in the US on the back of its recent initiatives of forming a JV with Quanta Services (PWR US, OW, covered by Mark Strouse). We also roll forward our PT from Dec 26 to Jun 27, and we trim our multiple for the US LPT business from 40x to 35x to reflect slightly slower growth CAGR ahead on a higher earnings base after a few years of very strong earnings performance since 2023. All in all, lift our PT from KRW 3,900k/sh to KRW 4,100k. We maintain an OW rating.

LS Electric: We revise up 26-28E earnings by 1-4% to reflect stronger-than-expected order wins during 2Q and the potential revision of FY26 new order guidance (from KRW 5 trillion to KRW 6 trillion). Accordingly, we lift our Jun-27 PT from KRW 190k to KRW 200k and maintain a Neutral rating on the back of rich valuation.

Table 2: Earnings and PT changes

KRW bn

	Previous			Current			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Hyundai Electric (KRW bn)									
Revenue	4,830	5,632	6,368	5,040	5,746	6,535	4%	2%	3%
Operating profit	1,262	1,648	1,927	1,332	1,689	1,988	5%	2%	3%
Attributable profit	997	1,287	1,515	1,007	1,316	1,562	1%	2%	3%
PT (KRW/sh)			1,315,000			1,375,000			5%
Rating			OW			OW			
Hyosung Heavy (KRW bn)									
Revenue	6,975	8,411	9,780	6,975	8,669	10,088	0%	3%	3%
Operating profit	1,054	1,458	1,811	1,054	1,498	1,863	0%	3%	3%
Attributable profit	785	1,102	1,412	794	1,133	1,452	1%	3%	3%
PT (KRW/sh)			3,900,000			4,100,000			5%
Rating			OW			OW			
LS Electric (KRW bn)									
Revenue	6,289	7,378	8,347	6,321	7,450	8,476	1%	1%	2%
Operating profit	724	971	1,186	729	1,001	1,232	1%	3%	4%
Attributable profit	501	679	836	505	700	869	1%	3%	4%
PT (KRW/sh)			190,000			200,000			5%
Rating			N			N			

Source: J.P. Morgan estimates.

Overweight

267260.KS, 267260 KS

Price (06 Jul 26):W922,000

▲ **Price Target (Jun-27):W1,375,000**

Prior (Dec-26):W1,315,000

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Quarterly Forecasts (FYE Dec)

Adj. EPS (W)

	2025A	2026E	2027E
Q1	4,274	5,772A	9,112
Q2	3,951	6,083	8,458
Q3	5,301	7,067	8,612
Q4	6,797	9,003	10,336
FY	20,324	27,927	36,517

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	80	77	60	42	12
Growth	10	12	7	40	72
Momentum	16	11	26	2	28
Quality	1	4	3	11	87
Low Vol	75	95	91	89	98

HD Hyundai Electric

Revise earnings/PT to reflect higher US sales assumptions

We revise up our 27-28E earnings by 2-3% to reflect higher assumptions of power equipment sales in the US on the back of its project wins of >US\$700mn in new orders from a hyperscaler, which is a break-through to the AIDC market. We also roll forward our PT from Dec 26 to Jun 27, we trim our multiple for the North America segment from 40x to 35x to reflect slightly slower growth CAGR ahead on a higher earnings base after a few years of stellar earnings performance since 2023. All in all, we lift our PT from KRW 1,315k/sh to KRW 1,375k. We maintain an OW rating.

Price Performance



	YTD	1m	3m	12m
Abs	18.4%	-3.6%	1.6%	113.4%
Rel	-72.7%	-2.2%	-46.1%	-49.7%

Company Data

Shares O/S (mn)	36
52-week range (W)	1,449,000-418,000
Market cap (\$ mn)	21,726
Exchange rate	1,529.73
Free float (%)	56.6%
3M ADV (mn)	0.27
3M ADV (\$ mn)	196.0
Volatility (90 Day)	78
Index	KOSPI
BBG ANR (Buy Hold Sell)	23 1 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	4,080	5,040	5,746	6,535
Adj. EBITDA	1,069	1,424	1,799	2,113
Adj. EBIT	995	1,332	1,689	1,988
Adj. net income	733	1,007	1,316	1,562
Adj. EPS	20,324	27,927	36,517	43,325
BBG EPS	19,460	27,062	33,818	40,626
Cashflow from operations	960	935	1,395	1,651
FCFF	713	636	1,087	1,326
Margins and Growth				
Revenue Growth Y/Y (%)	22.8%	23.5%	14.0%	13.7%
EBITDA margin	26.2%	28.3%	31.3%	32.3%
EBITDA Growth Y/Y (%)	45.6%	33.2%	26.3%	17.5%
EBIT margin	24.4%	26.4%	29.4%	30.4%
Net margin	18.0%	20.0%	22.9%	23.9%
Adj. EPS growth	46.1%	37.4%	30.8%	18.6%
Ratios				
Adj. tax rate	23.5%	23.5%	23.5%	23.5%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	38.0%	40.5%	40.0%	36.5%
ROE	41.5%	42.7%	42.3%	38.6%
Valuation				
FCFF yield	2.1%	1.9%	3.3%	4.0%
Dividend yield	0.8%	1.1%	1.4%	1.6%
EV/Revenue	8.2	6.6	5.8	5.1
EV/EBITDA	31.3	23.4	18.5	15.8
Adj. P/E	45.4	33.0	25.2	21.3

Summary Investment Thesis and Valuation

Investment Thesis

HD Hyundai Electric (HDE) is one of the largest large power transformer (LPT) manufacturers in the US. With over a decade of experience serving US utilities, HDE should be a major beneficiary of structural demand growth for LPT in the US, in our view, amid rising ASPs and new orders. In addition to the US market, the company is also seeing increasing opportunities in other regions (e.g., Europe). We have an OW rating on HDE because of the revenue visibility we see backed by a strong order backlog, decent ROE and multiple growth drivers across the globe.

Valuation

Our Jun-27 PT of KRW 1,375k/sh is based on a sum-of-the-parts valuation and implies an ~38x and 14x FY27E P/E and P/B, respectively. We assign a ~35x 2027-28E forward P/E to North America, a ~35x to the other Power Equipment and a ~20x P/E to the other equipment segments (Rotating and Distribution) in our SOTP model.

Performance Drivers

Market	58%
Region	0%
Macro	8%
Style	1%
Idiosyn.	33%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.84	0.76
Region: Korea	-0.09	0.14
Macro:		
Citi Economic Surprise - EM	0.36	0.33
JPM Forecast Revision EM	-0.02	0.22
JPM EM Currency(EMCI) Fixing	-0.14	-0.21
Quant Styles:		
Quality	-0.02	0.18
Size	-0.07	0.17
Value	-0.06	-0.09

Investment Thesis, Valuation and Risks

HD Hyundai Electric (*Overweight; Price Target: W1,375,000*)

Investment Thesis

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Segment	Target P/E multiple (x)	NAV
North America	35x	929,243
other region/product		
Power Equipment	35x	350,136
Rotating Equipment	20x	53,600
Distribution Equipment	20x	35,160
Jun-27 PT		1,375,000

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) slower-than-expected US LPT demand and expansion into Europe and the Middle East; 2) higher raw material costs/copper prices and US tariffs; and 3) a slowdown in demand for rotating and distribution equipment.

HD Hyundai Electric: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	3,322	4,080	5,040	5,746	6,535	Cash flow from operating activities	1,034	960	935	1,395	1,651
COGS	(2,278)	(2,687)	(3,204)	(3,481)	(3,893)	o/w Depreciation & amortization	65	74	93	110	125
Gross profit	1,045	1,393	1,836	2,264	2,642	o/w Changes in working capital	361	193	(163)	(29)	(34)
SG&A	(241)	(237)	(305)	(343)	(390)	Cash flow from investing activities	(143)	(226)	(286)	(286)	(286)
Adj. EBITDA	734	1,069	1,424	1,799	2,113	o/w Capital expenditure	(137)	(240)	(286)	(286)	(286)
D&A	(65)	(74)	(93)	(110)	(125)	as % of sales	4.1%	5.9%	5.7%	5.0%	4.4%
Adj. EBIT	669	995	1,332	1,689	1,988	Cash flow from financing activities	(518)	(350)	(403)	(487)	(514)
Net Interest	(16)	8	18	29	51	o/w Dividends paid	(76)	(221)	(351)	(459)	(545)
Adj. PBT	650	956	1,314	1,718	2,039	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(152)	(225)	(309)	(404)	(479)	o/w Net debt issued/(repaid)	(442)	(127)	(52)	(28)	30
Minority Interest	3	1	1	1	2	Net change in cash	394	381	246	622	851
Adj. Net Income	502	733	1,007	1,316	1,562	Adj. Free cash flow to firm	909	713	636	1,087	1,326
Reported EPS	13,914	20,324	27,927	36,517	43,325	y/y Growth	(1193.0%)	(21.5%)	(10.9%)	71.0%	22.0%
Adj. EPS	13,914	20,324	27,927	36,517	43,325						
DPS	5,350	7,100	9,742	12,738	15,113						
Payout ratio	38.4%	34.9%	34.9%	34.9%	34.9%						
Shares outstanding	36	36	36	36	36						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	570	951	1,197	1,819	2,671	Gross margin	31.4%	34.1%	36.4%	39.4%	40.4%
Accounts receivable	831	772	940	1,056	1,184	EBITDA margin	22.1%	26.2%	28.3%	31.3%	32.3%
Inventories	1,081	1,267	1,423	1,450	1,515	EBIT margin	20.1%	24.4%	26.4%	29.4%	30.4%
Other current assets	282	437	437	437	437	Net profit margin	15.1%	18.0%	20.0%	22.9%	23.9%
Current assets	2,764	3,426	3,997	4,763	5,806	ROE	39.3%	41.5%	42.7%	42.3%	38.6%
PP&E	730	943	1,136	1,313	1,473	ROA	15.0%	17.1%	19.5%	21.9%	22.1%
LT investments	-	-	-	-	-	ROCE	28.8%	38.0%	40.5%	40.0%	36.5%
Other non current assets	302	401	400	400	399	SG&A/Sales	7.3%	5.8%	6.0%	6.0%	6.0%
Total assets	3,796	4,770	5,533	6,475	7,679	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	127	139	100	79	102	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	501	608	769	883	1,041	Sales/Assets (x)	1.0	1.0	1.0	1.0	0.9
Other short term liabilities	1,374	1,802	1,802	1,802	1,802	Assets/Equity (x)	2.6	2.4	2.2	1.9	1.7
Current liabilities	2,001	2,549	2,671	2,764	2,945	Interest cover (x)	47.0	NM	NM	NM	NM
Long-term debt	167	47	34	27	35	Operating leverage	489.6%	214.0%	143.5%	191.8%	128.6%
Other long term liabilities	120	141	141	141	141	Tax rate	23.3%	23.5%	23.5%	23.5%	23.5%
Total liabilities	2,288	2,737	2,846	2,932	3,121	Revenue y/y Growth	22.9%	22.8%	23.5%	14.0%	13.7%
Shareholders' equity	1,502	2,029	2,684	3,541	4,558	EBITDA y/y Growth	99.7%	45.6%	33.2%	26.3%	17.5%
Minority interests	6	4	3	2	(0)	EPS y/y Growth	93.5%	46.1%	37.4%	30.8%	18.6%
Total liabilities & equity	3,796	4,770	5,533	6,475	7,679						
BVPS	41,662	56,281	74,467	98,246	126,458						
y/y Growth	43.3%	35.1%	32.3%	31.9%	28.7%						
Net debt/(cash)	(276)	(765)	(1,063)	(1,713)	(2,534)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	66.3	45.4	33.0	25.2	21.3
						P/BV (x)	22.1	16.4	12.4	9.4	7.3
						EV/EBITDA (x)	45.7	31.3	23.4	18.5	15.8
						Dividend Yield	0.6%	0.8%	1.1%	1.4%	1.6%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

298040.KS, 298040 KS

Price (06 Jul 26): W3,107,000

▲ **Price Target (Jun-27): W4,100,000**

Prior (Dec-26): W3,900,000

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Quarterly Forecasts (FYE Dec)

Adj. EPS (W)

	2025A	2026E	2027E
Q1	10,971	9,371A	25,967
Q2	9,935	21,623	30,488
Q3	16,130	24,006	32,872
Q4	18,794	30,236	32,356
FY	55,829	85,211	121,683

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	43	46	31	10	5
Growth	1	4	6	12	9
Momentum	7	2	12	10	18
Quality	6	24	38	53	77
Low Vol	80	96	95	78	97

Hyosung Heavy Industries

Revise up earnings/PT to reflect higher US sales assumptions

We revise up our 27-28E earnings by 3% to reflect higher assumptions for power equipment sales in the US on the back of its recent initiatives of forming a JV with Quanta Services (PWR US, OW, covered by Mark Strouse). We roll forward our PT from Dec 26 to Jun 27, and we trim our multiple for the US Large Power Transformer (LPT) business from 40x to 35x to reflect slightly slower growth CAGR ahead on a higher earnings base after a few years of very strong earnings performance since 2023. All in all, we lift our PT from KRW 3,900k/sh to KRW 4,100k. We maintain an OW rating.

Price Performance



	YTD	1m	3m	12m
Abs	73.6%	-7.1%	16.4%	249.5%
Rel	-17.5%	-5.8%	-31.3%	86.3%

Company Data

Shares O/S (mn)	9
52-week range (W)	4,865,000-860,000
Market cap (\$ mn)	18,940
Exchange rate	1,529.73
Free float (%)	46.6%
3M ADV (mn)	0.09
3M ADV (\$ mn)	210.3
Volatility (90 Day)	83
Index	KOSPI
BBG ANR (Buy Hold Sell)	21 0 0

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	5,969	6,975	8,669	10,088
Adj. EBITDA	833	1,144	1,606	1,972
Adj. EBIT	747	1,054	1,498	1,863
Adj. net income	520	794	1,133	1,452
Adj. EPS	55,829	85,211	121,683	155,888
BBG EPS	53,055	85,913	121,382	149,871
Cashflow from operations	493	762	1,013	1,384
FCFF	332	112	914	1,245
Margins and Growth				
Revenue Growth Y/Y (%)	21.9%	16.9%	24.3%	16.4%
EBITDA margin	14.0%	16.4%	18.5%	19.5%
EBITDA Growth Y/Y (%)	91.3%	37.3%	40.4%	22.8%
EBIT margin	12.5%	15.1%	17.3%	18.5%
Net margin	8.7%	11.4%	13.1%	14.4%
Adj. EPS growth	133.5%	52.6%	42.8%	28.1%
Ratios				
Adj. tax rate	19.6%	19.6%	19.6%	19.6%
Interest cover	40.1	58.5	76.6	NM
Net debt/Equity	0.2	0.1	NM	NM
Net debt/EBITDA	0.6	0.4	NM	NM
ROCE	20.4%	24.0%	27.1%	27.0%
ROE	24.4%	29.2%	31.6%	30.6%
Valuation				
FCFF yield	1.1%	0.4%	3.2%	4.3%
Dividend yield	0.2%	0.4%	0.5%	0.7%
EV/Revenue	0.1	0.1	NM	NM
EV/EBITDA	0.8	0.6	NM	NM
Adj. P/E	55.7	36.5	25.5	19.9

Summary Investment Thesis and Valuation

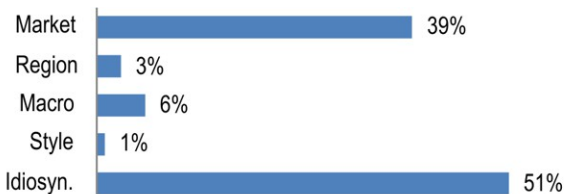
Investment Thesis

Hyosung Heavy is one of the largest Large Power Transformer (LPT) manufacturers in the US and Korea, and is likely to be a major beneficiary of secular growth in HV transformer demand globally. With capacity expansions in the next two to three years, we believe the company is set to enjoy rising transformer demand and sharp ASP hikes. We believe Hyosung is also poised to capture rising power equipment demand in Europe, with a >5x surge in revenue in 2022-25. We believe credit risk concerns for Hyosung's residential construction business are overdone amid government support measures on project financing and an improving housing market. We have an OW rating on Hyosung Heavy.

Valuation

Our Jun-27 PT of KRW 4,100k/sh is based on a sum-of-the-parts valuation, implying a ~34x and 9x FY27E P/E and P/B, respectively. We assign a ~35x 2027-28E P/E to the US LPT business, supported by strong profit growth over 2026-28E. We assume a ~30x P/E for Other Heavy Industries sales given the rising opportunities for HV equipment sales (such as switchgear) to nuclear projects, data centers and others. We assign a ~5x P/E multiple to the residential construction segment, reflecting a modest earnings growth outlook.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.73	0.62
Region: Korea	0.00	0.26
Macro:		
Citi Economic Surprise - EM	0.27	0.23
JP Morgan GBI-EM Global Div	-0.18	-0.20
JPM EM Currency(EMCI) Fixing	-0.10	-0.18
Quant Styles:		
Value	-0.13	-0.09
DivYld	-0.14	-0.07
Momentum	0.17	0.05

Investment Thesis, Valuation and Risks

Hyosung Heavy Industries (Overweight; Price Target: W4,100,000)

Investment Thesis

Hyosung Heavy is one of the largest large power transformer (LPT) manufacturers in the U.S. and Korea, and is likely to be a major beneficiary of secular growth in HV transformer demand globally. With capacity expansions in the next two to three years, we believe the company is set to enjoy rising transformer demand and sharp ASP hikes. We believe Hyosung is also poised to capture rising power equipment demand in Europe, with a >5x surge in revenue in 2022-25. We believe credit risk concerns for Hyosung's residential construction business are overdone amid government support measures on project financing and an improving housing market. We have an OW rating on Hyosung Heavy.

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Our Jun-27 PT of KRW 4,100k/sh is based on a sum-of-the-parts valuation, implying a ~34x and 9x FY27E P/E and P/B, respectively. We assign a ~35x 2027-28E P/E to the US LPT business, supported by strong profit growth over 2026-28E. We assume a ~30x P/E for Other Heavy Industries sales given the rising opportunities for HV equipment sales (such as switchgear) to nuclear projects, data centers and others. We assign a ~5x P/E multiple to the residential construction segment, reflecting a modest earnings growth outlook.

Segment	Target P/E multiple (x)	NAV
Residential Construction	5x	46,679
Heavy Industries		
U.S. LPT	35x	2,001,232
Other heavy industries sales	30x	2,094,536
Jun-27 PT		4,100,000

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) weaker-than-expected LPT demand in the US and globally; 2) a surge in copper and freight costs; and 3) delays in construction progress for Hyosung's project, which may lead to off-balance-sheet risk.

Hyosung Heavy Industries: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	4,895	5,969	6,975	8,669	10,088	Cash flow from operating activities	412	493	762	1,013	1,384
COGS	(4,103)	(4,716)	(5,368)	(6,484)	(7,424)	o/w Depreciation & amortization	73	86	90	108	109
Gross profit	792	1,253	1,607	2,185	2,664	o/w Changes in working capital	44	(281)	(159)	(282)	(244)
SG&A	(312)	(366)	(401)	(502)	(601)	Cash flow from investing activities	(215)	(213)	(666)	(116)	(116)
Adj. EBITDA	435	833	1,144	1,606	1,972	o/w Capital expenditure	(97)	(178)	(666)	(116)	(116)
D&A	(73)	(86)	(90)	(108)	(109)	as % of sales	2.0%	3.0%	9.5%	1.3%	1.1%
Adj. EBIT	362	747	1,054	1,498	1,863	Cash flow from financing activities	(228)	(313)	103	(216)	(164)
Net Interest	(26)	(21)	(20)	(21)	29	o/w Dividends paid	(23)	(47)	(70)	(107)	(152)
Adj. PBT	224	626	1,034	1,477	1,892	o/w Shares issued/(repurchased)	89	7	0	0	0
Tax	(1)	(123)	(203)	(290)	(372)	o/w Net debt issued/(repaid)	(294)	(274)	173	(109)	(11)
Minority Interest	(0)	17	(37)	(53)	(68)	Net change in cash	(29)	(32)	199	681	1,105
Adj. Net Income	223	520	794	1,133	1,452	Adj. Free cash flow to firm	342	332	112	914	1,245
Reported EPS	23,907	55,829	85,211	121,683	155,888	y/y Growth	(29.2%)	(2.9%)	(66.4%)	718.2%	36.3%
Adj. EPS	23,907	55,829	85,211	121,683	155,888						
DPS	5,000	7,500	11,447	16,346	20,941						
Payout ratio	20.9%	13.4%	13.4%	13.4%	13.4%						
Shares outstanding	9	9	9	9	9						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	262	250	449	1,130	2,235	Gross margin	16.2%	21.0%	23.0%	25.2%	26.4%
Accounts receivable	1,330	1,626	1,881	2,314	2,679	EBITDA margin	8.9%	14.0%	16.4%	18.5%	19.5%
Inventories	885	1,278	1,440	1,721	1,961	EBIT margin	7.4%	12.5%	15.1%	17.3%	18.5%
Other current assets	559	585	585	585	585	Net profit margin	4.5%	8.7%	11.4%	13.1%	14.4%
Current assets	3,036	3,738	4,354	5,750	7,459	ROE	14.9%	24.4%	29.2%	31.6%	30.6%
PP&E	2,172	2,307	2,884	2,892	2,900	ROA	4.1%	7.7%	10.1%	12.4%	13.6%
LT investments	-	-	-	-	-	ROCE	14.8%	20.4%	24.0%	27.1%	27.0%
Other non current assets	1,011	1,183	1,182	1,181	1,181	SG&A/Sales	6.4%	6.1%	5.7%	5.8%	6.0%
Total assets	6,219	7,228	8,419	9,823	11,539	Net debt/Equity	0.3	0.2	0.1	NM	NM
Short term borrowings	332	272	330	293	289	Net debt/EBITDA	1.5	0.6	0.4	NM	NM
Payables	1,437	1,652	1,909	2,342	2,702	Sales/Assets (x)	0.9	0.9	0.9	1.0	0.9
Other short term liabilities	1,324	1,638	1,653	1,643	1,643	Assets/Equity (x)	3.7	3.2	2.9	2.5	2.2
Current liabilities	3,093	3,561	3,892	4,279	4,634	Interest cover (x)	16.5	40.1	58.5	76.6	NM
Long-term debt	563	464	564	501	495	Operating leverage	293.7%	483.7%	243.5%	173.5%	149.1%
Other long term liabilities	507	712	712	712	712	Tax rate	0.3%	19.6%	19.6%	19.6%	19.6%
Total liabilities	4,163	4,738	5,169	5,492	5,841	Revenue y/y Growth	13.8%	21.9%	16.9%	24.3%	16.4%
Shareholders' equity	1,909	2,352	3,075	4,102	5,401	EBITDA y/y Growth	27.0%	91.3%	37.3%	40.4%	22.8%
Minority interests	147	138	175	229	297	EPS y/y Growth	92.2%	133.5%	52.6%	42.8%	28.1%
Total liabilities & equity	6,219	7,228	8,419	9,823	11,539						
BVPS	204,949	252,543	330,253	440,490	580,032	Valuation					
y/y Growth	76.7%	23.2%	30.8%	33.4%	31.7%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	633	486	446	(335)	(1,451)	P/E (x)	130.0	55.7	36.5	25.5	19.9
						P/BV (x)	15.2	12.3	9.4	7.1	5.4
						EV/EBITDA (x)	2.1	0.8	0.6	NM	NM
						Dividend Yield	0.2%	0.2%	0.4%	0.5%	0.7%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

010120.KS, 010120 KS

Price (06 Jul 26):W216,500

▲ **Price Target (Jun-27):W200,000**

Prior (Jun-27):W190,000

Power Equipment and Utilities

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (W)	4,561	4,703	3.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	470	810A	1,107
Q2	451	799	1,246
Q3	447	813	1,114
Q4	560	967	1,236
FY	1,927	3,392	4,703

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	91	78	71	60	53
Growth	24	28	26	58	68
Momentum	4	27	22	14	93
Quality	36	29	26	43	36
Low Vol	94	98	97	57	60

LS Electric

Revise earnings/PT to reflect strong order momentum

We revise up 26-28E earnings by 1-4% to reflect stronger-than-expected order wins during 2Q and the potential revision of FY26 new order guidance (from KRW 5 trillion to KRW 6 trillion). Accordingly, we lift our Jun-27 PT from KRW 190k to KRW 200k and maintain a Neutral rating on the back of rich valuation.

Price Performance



	YTD	1m	3m	12m
Abs	132.6%	-4.2%	33.0%	313.2%
Rel	41.5%	-2.9%	-14.7%	150.0%

Company Data

Shares O/S (mn)	150
52-week range (W)	347,500-50,600
Market cap (\$ mn)	21,229
Exchange rate	1,529.73
Free float (%)	41.2%
3M ADV (mn)	2.73
3M ADV (\$ mn)	441.4
Volatility (90 Day)	106
Index	KOSPI
BBG ANR (Buy Hold Sell)	22 2 1

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	4,966	6,321	7,450	8,476
Adj. EBITDA	559	877	1,183	1,445
Adj. EBIT	426	729	1,001	1,232
Adj. net income	287	505	700	869
Adj. EPS	1,927	3,392	4,703	5,839
BBG EPS	1,880	3,294	5,134	5,746
Cashflow from operations	300	453	741	974
FCFF	112	73	362	693
Margins and Growth				
Revenue Growth Y/Y (%)	9.1%	27.3%	17.9%	13.8%
EBITDA margin	11.3%	13.9%	15.9%	17.0%
EBITDA Growth Y/Y (%)	11.0%	56.9%	35.0%	22.1%
EBIT margin	8.6%	11.5%	13.4%	14.5%
Net margin	5.8%	8.0%	9.4%	10.3%
Adj. EPS growth	19.9%	76.1%	38.6%	24.2%
Ratios				
Adj. tax rate	30.7%	27.0%	27.0%	27.0%
Interest cover	18.5	28.3	36.7	49.2
Net debt/Equity	0.3	0.3	0.1	0.0
Net debt/EBITDA	1.1	0.7	0.4	0.0
ROCE	9.1%	14.4%	17.2%	18.2%
ROE	14.7%	22.2%	25.4%	25.9%
Valuation				
FCFF yield	0.3%	0.2%	1.1%	2.2%
Dividend yield	0.3%	0.5%	0.7%	0.8%
EV/Revenue	6.7	5.2	4.4	3.8
EV/EBITDA	59.2	37.8	27.9	22.5
Adj. P/E	112.4	63.8	46.0	37.1

Summary Investment Thesis and Valuation

Investment Thesis

LS Electric is the largest distribution equipment maker in Korea, with a >60% market share, yet it has lower exposure to large power transformers (LPT) than its peers. We believe the company will likely enjoy stronger growth for LPT off a low base and capacity ramp-up. With a track record of supplying equipment to US hyperscalers, we see potential for the company to have new order wins from strong AI capex growth. The Korean government's push for renewables and LS Electric's partnership with GE Vernova may also provide revenue upside for the company from HVDC projects domestically (and overseas in the medium term). We have a Neutral rating on LS Electric, as we believe its stock performance is likely to be in line with the broader index over the next 6-12 months after its strong performance YTD, despite our long-term positive view on the company.

Valuation

Our Jun-27 PT of KRW 200k/sh is based on a sum-of-the-parts valuation, implying a ~43x and ~10x FY27E P/E and P/B, respectively. We assign a ~40x FY27-28E P/E to the High-Voltage Transformers, Electric Equipment and Other Electric Infra segments in our SOTP model, given the strong earnings outlook, in line with global players. We assign only a ~10x and ~15x P/E to the automation segment and LS's other subsidiaries, respectively, given a less favourable operating outlook compared to other segments.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.56	0.54
Region: Korea	0.26	0.31
Macro:		
Citi Economic Surprise - EM	0.55	0.54
HSI Volatility Index	-0.06	-0.21
JPM Forecast Revision EM	-0.11	0.19
Quant Styles:		
Size	0.20	0.26
Quality	-0.13	0.08
LowVol	0.07	0.08

Investment Thesis, Valuation and Risks

LS Electric (*Neutral; Price Target: W200,000*)

Investment Thesis

LS Electric is the largest distribution equipment maker in Korea, with a >60% market share, yet it has lower exposure to large power transformers (LPT) than its peers. We believe the company will likely enjoy stronger growth for LPT off a low base and capacity ramp-up. With a track record of supplying equipment to US hyperscalers, we see potential for the company to have new order wins from strong AI capex growth. The Korean government's push for renewables and LS Electric's partnership with GE Vernova may also provide revenue upside for the company from HVDC projects domestically (and overseas in the medium term). We have a Neutral rating on LS Electric, as we believe its stock performance is likely to be in line with the broader index over the next 6-12 months after its strong performance YTD, despite our long-term positive view on the company.

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Segments	Valuation methodology	Multiple (x)	NAV (KRW bn)	NAV/sh (KRW)	% of total
Electric			26,088	175,315	92%
Electric equipment	P/E	40x	8,403	56,471	30%
High-voltage transformers	P/E	40x	5,780	38,841	20%
Electric infra-Others	P/E	40x	11,466	77,056	40%
Renewable	P/S	1x	439	2,947	2%
Automation	P/E	10x	134	898	0%
Subsidiaries	P/E	15x	2,222	14,935	8%
Jun-27 PT				200,000	

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) a slower-than-expected increase in market share/a sharper decrease in renewables demand for LPT in the US and other markets; 2) slower-than-expected order wins from AIDC; 3) a slowdown in electrical equipment demand in Korea for the renewables, automation and distribution grid segments; and 4) a rise in raw materials/freight costs and US tariffs.

Upside risks include: 1) a faster-than-expected increase in market share/a milder decrease in renewables demand for LPT in the US and other markets; 2) faster-than-expected order wins from AIDC; 3) an acceleration in electrical equipment demand in Korea for the renewables, automation and distribution grid segments; and 4) a decrease in raw materials/freight costs and US tariffs.

LS Electric: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	4,552	4,966	6,321	7,450	8,476	Cash flow from operating activities	230	300	453	741	974
COGS	(3,644)	(3,914)	(4,802)	(5,542)	(6,237)	o/w Depreciation & amortization	114	132	147	182	213
Gross profit	908	1,051	1,518	1,908	2,239	o/w Changes in working capital	(225)	(175)	(204)	(149)	(116)
SG&A	(318)	(400)	(530)	(601)	(661)	Cash flow from investing activities	(256)	(250)	(402)	(402)	(302)
Adj. EBITDA	503	559	877	1,183	1,445	o/w Capital expenditure	(150)	(209)	(402)	(402)	(302)
D&A	(114)	(132)	(147)	(182)	(213)	as % of sales	3.3%	4.2%	6.4%	5.4%	3.6%
Adj. EBIT	390	426	729	1,001	1,232	Cash flow from financing activities	82	59	(12)	(80)	(83)
Net Interest	(22)	(30)	(31)	(32)	(29)	o/w Dividends paid	(83)	(87)	(89)	(157)	(218)
Adj. PBT	333	410	698	968	1,202	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(91)	(126)	(189)	(261)	(325)	o/w Net debt issued/(repaid)	101	146	77	78	135
Minority Interest	(4)	2	(5)	(7)	(9)	Net change in cash	76	103	39	259	589
Adj. Net Income	239	287	505	700	869	Adj. Free cash flow to firm	96	112	73	362	693
Reported EPS	1,606	1,927	3,392	4,703	5,839	y/y Growth	(10.5%)	16.8%	(34.8%)	394.7%	91.6%
Adj. EPS	1,606	1,927	3,392	4,703	5,839						
DPS	580	600	1,056	1,464	1,818						
Payout ratio	36.1%	31.1%	31.1%	31.1%	31.1%						
Shares outstanding	149	149	149	149	149						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	660	763	801	1,060	1,649	Gross margin	19.9%	21.2%	24.0%	25.6%	26.4%
Accounts receivable	1,070	1,036	1,301	1,513	1,699	EBITDA margin	11.1%	11.3%	13.9%	15.9%	17.0%
Inventories	510	553	665	752	830	EBIT margin	8.6%	8.6%	11.5%	13.4%	14.5%
Other current assets	812	1,005	1,005	1,005	1,005	Net profit margin	5.2%	5.8%	8.0%	9.4%	10.3%
Current assets	3,052	3,357	3,773	4,331	5,183	ROE	13.4%	14.7%	22.2%	25.4%	25.9%
PP&E	861	979	1,247	1,478	1,578	ROA	5.8%	6.1%	9.5%	11.6%	12.6%
LT investments	-	-	-	-	-	ROCE	9.9%	9.1%	14.4%	17.2%	18.2%
Other non current assets	572	620	608	597	587	SG&A/Sales	7.0%	8.0%	8.4%	8.1%	7.8%
Total assets	4,485	4,957	5,628	6,406	7,347	Net debt/Equity	0.3	0.3	0.3	0.1	0.0
Short term borrowings	630	597	630	664	723	Net debt/EBITDA	1.1	1.1	0.7	0.4	0.0
Payables	638	707	880	1,031	1,178	Sales/Assets (x)	1.1	1.1	1.2	1.2	1.2
Other short term liabilities	578	561	561	561	561	Assets/Equity (x)	2.3	2.4	2.3	2.2	2.1
Current liabilities	1,846	1,865	2,072	2,256	2,461	Interest cover (x)	23.1	18.5	28.3	36.7	49.2
Long-term debt	570	775	818	862	938	Operating leverage	262.8%	103.5%	260.3%	208.2%	167.7%
Other long term liabilities	178	176	176	176	176	Tax rate	27.3%	30.7%	27.0%	27.0%	27.0%
Total liabilities	2,595	2,815	3,066	3,294	3,576	Revenue y/y Growth	7.6%	9.1%	27.3%	17.9%	13.8%
Shareholders' equity	1,839	2,070	2,485	3,028	3,679	EBITDA y/y Growth	17.9%	11.0%	56.9%	35.0%	22.1%
Minority interests	51	72	77	84	92	EPS y/y Growth	14.6%	19.9%	76.1%	38.6%	24.2%
Total liabilities & equity	4,485	4,957	5,628	6,406	7,347						
BVPS	12,382	13,920	16,705	20,349	24,724						
y/y Growth	6.1%	12.4%	20.0%	21.8%	21.5%						
Net debt/(cash)	541	609	647	466	12						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	134.8	112.4	63.8	46.0	37.1
						P/BV (x)	17.5	15.6	13.0	10.6	8.8
						EV/EBITDA (x)	65.6	59.2	37.8	27.9	22.5
						Dividend Yield	0.3%	0.3%	0.5%	0.7%	0.8%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

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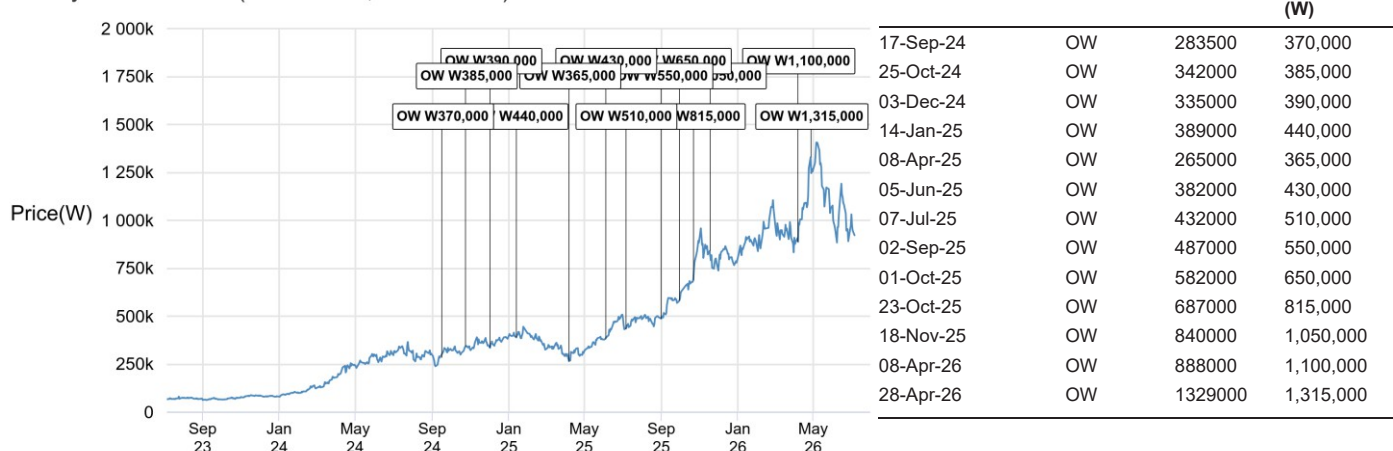
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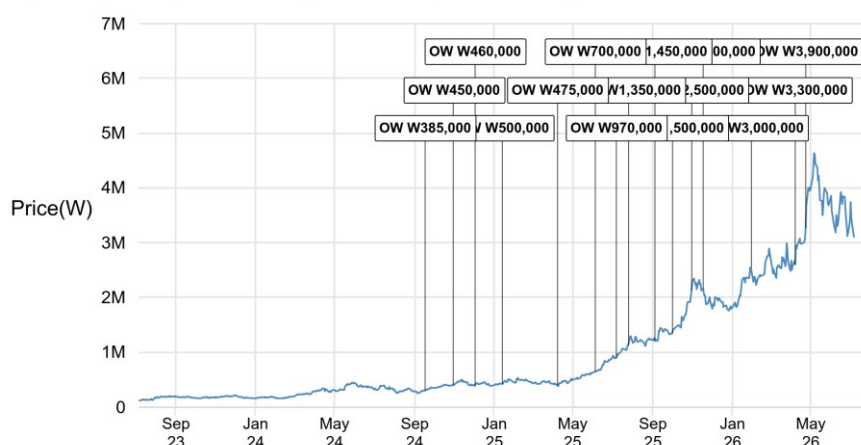
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HD Hyundai Electric (267260.KS, 267260 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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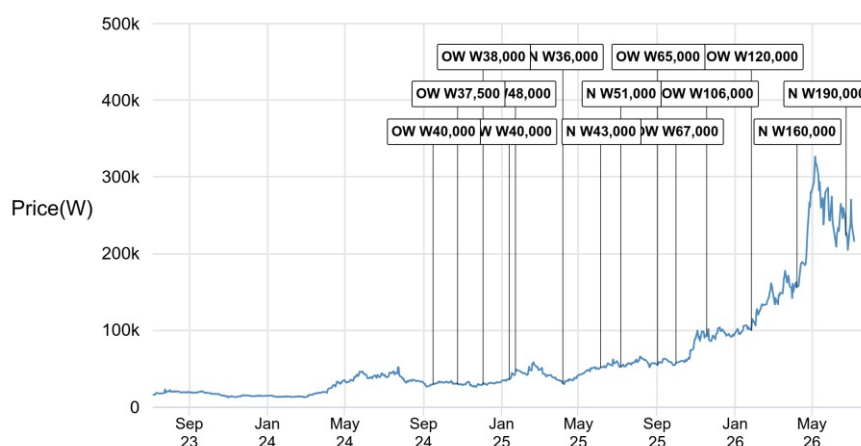
Hyosung Heavy Industries (298040.KS, 298040 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
17-Sep-24	OW	289500	385,000
31-Oct-24	OW	405000	450,000
03-Dec-24	OW	386000	460,000
14-Jan-25	OW	421500	500,000
08-Apr-25	OW	393500	475,000
05-Jun-25	OW	648000	700,000
07-Jul-25	OW	889000	970,000
27-Jul-25	OW	1125000	1,350,000
05-Sep-25	OW	1209000	1,450,000
01-Oct-25	OW	1340000	1,500,000
31-Oct-25	OW	2125000	2,500,000
18-Nov-25	OW	2160000	2,800,000
30-Jan-26	OW	2535000	3,000,000
08-Apr-26	OW	2603000	3,300,000
24-Apr-26	OW	3260000	3,900,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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LS Electric (010120.KS, 010120 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
17-Sep-24	OW	29000	40,000
25-Oct-24	OW	29820	37,500
03-Dec-24	OW	29060	38,000
14-Jan-25	OW	35920	40,000
24-Jan-25	N	46400	48,000
08-Apr-25	N	30580	36,000
05-Jun-25	N	51300	43,000
07-Jul-25	N	52400	51,000
02-Sep-25	OW	54800	65,000
01-Oct-25	OW	56900	67,000
18-Nov-25	OW	94000	106,000
27-Jan-26	OW	100000	120,000
08-Apr-26	N	156000	160,000
24-Jun-26	N	224000	190,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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